

CIFR_PITCH_DECK_20260818

PITCH — CIFR — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy at today's price. Both benches land on the same answer for the same reason: even if everything the company promises comes true, on time, fully funded, the equity is worth roughly \$14.5/share against a tape of \$17.3–18.5. This is a price rejection with a dated re-opening, not a permanent kill.

What we believe

Cipher Digital (CIK 1819989) is a bitcoin miner converting its Texas power sites into leased high-performance computing shells. It has signed a genuinely large book of business: about 907 MW operating or contracted, anchored by two Amazon leases (Black Pearl, ~300 MW / 15 years, and Stingray) and one lease to Fluidstack, a private AI cloud company, partially backstopped by Google. The company says this book will throw off about **\$793 million of average annual net operating income** over the base lease terms and about **\$11.4 billion of contracted revenue**. Delivery is running ahead of schedule — both benches accepted that, and neither tried to knock it down.

What we believe, after the court, is narrower and less exciting than that story:

1. **The build is real and the money is in the bank.** Roughly \$831.8M of unrestricted cash and \$3.728B of restricted cash sit against \$4.543B of project-level notes (Cipher Compute \$1.733B at 7.125%, Stingray \$810M at 6.0%, Black Pearl \$2.0B at 6.125%). Interest expense of \$66.7M in the quarter is offset by \$35.9M of interest income on the cash pile — net carrying cost of about \$31M a quarter, already funded. **This is not a company at risk of going broke, and we say that against our own initial instinct.**
2. **The share count is far larger than the headline.** Two convertible bond tranches are in the money and about 24M warrants were handed to Google as payment for backstopping the Fluidstack lease. Real fully-diluted count is roughly **559 million shares, not the 414–415 million** that shows up on quote screens — 26% more shares than the story is usually told with.
3. **On the company's own promised income, at the same capitalization rate the most-cited sell-side shop (KBW) uses for the sector, the whole thing is worth about \$14.5/share.** The stock trades above that. There is no discount to buy.
4. **The legacy business no longer pays the bills.** Mining revenue is ~\$24.8M/quarter and falling (–43% year over year); power sales add \$2.3M. Corporate overhead runs near \$235M/year. Every dollar of head-office cost is now funded by financing, not by operations.

What the market believes

The consensus is Strong Buy with an average target of **\$32.18**, about +74% from here. Working backwards, that target implies roughly \$18 billion of equity value, which means either:

- a **~4.0% capitalization rate** applied to the promised \$793M of income — richer than any listed data-center landlord trades at, let alone a first-time merchant developer in West Texas with bullet-maturity debt and one non-investment-grade tenant; or
- roughly **\$5 billion of credit for the 4.4 GW of pipeline that is not yet under contract.**

The second is the more interesting tell. KBW marked peer companies' unsigned pipeline (HUT, WULF) to **zero** in July, then published a Cipher target that only works if Cipher's unsigned pipeline is worth billions. That is a live inconsistency in the street's own model, and it is the mechanism for the gap between their number and ours. We are not rejecting this because analysts like it — we are rejecting it because the specific number carrying their target is one they refuse to apply to comparable companies.

Why we might have edge

- **Nobody is counting the shares.** The 38.8M shares from the 2030 converts (224.9213 shares per \$1,000 on \$172.5M, ~\$4.45 strike), the 81.1M from the 2031 converts (62.3733 per \$1,000 on \$1.3B, ~\$16.03 strike), and the ~24M Google warrants add 144M shares — a third more than the screen shows. The build everyone is excited about was *funded by issuing those shares*. Investors are paying for the delivery twice: once in the enthusiasm, once in the dilution that paid for it.
- **The Google warrants are a hidden price for credit quality.** Cipher effectively bought its anchor lease's credit rating by giving equity to the party providing the backstop. That makes headline income per megawatt look like peers' while income per *actual* share is structurally lower. This is a repeatable pattern worth naming and screening for.
- **A blended valuation across three very different tenants flatters the bulls.** Amazon on a 15-year lease and a venture-funded AI cloud with a partial backstop are not the same credit. One capitalization rate across both is an error, and it errs upward.
- **The insider record around the top.** Nine Form 4 and 144 filings between June 16 and July 10, including a CEO 144 for 112,500 shares around \$21.19 on July 8 — into the \$30.14 high, in the same window the company raised \$2.0B of Black Pearl notes. Concentrated insider selling plus maximum external financing at the same moment is a recognizable pattern, and neither the market nor our first pass weighted it.

Why it might be priced in

Symmetrically, here is why we might be wrong and the street right:

- **We valued a 15-year Amazon lease with a perpetual capitalization rate, which is the wrong tool.** A term-matched discounted-cash-flow model — \$793M of income escalating over 15 years, discounted at 9–10%, with a conservative terminal value — plausibly lands in the **low-to-mid \$20s**. **Neither bench ran it.** This is the single unrun calculation that could flip the verdict, and it is the honest reason our conviction is 7–8 out of 10 rather than 9.

- **We assumed the \$3.728B of restricted cash is exactly consumed by remaining construction spending.** Neither bench read the commitments note (exhibits R68–R70). If restricted cash meaningfully exceeds what is still owed to contractors, free equity value exists that our table gives zero credit for, and the whole valuation shifts up.
- **We charged \$150M/year of head-office cost against a stabilized rental income stream.** That is too harsh for a finished portfolio — development-stage overhead shrinks once you stop developing. The \$10.54/share figure that treatment produces overstates the bear case.
- **Delivery genuinely is early**, and a developer that ships on time earns a better multiple than one that doesn't. We concede that and it is not in our numbers.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count ~414M	10-Q debt note (R21), pulled through a text proxy; conversion ratios cross-checked against the XBRL header in our own evidence pack	38.8M + 81.1M convert shares + ~24M Google warrants → ~559M fully diluted	YES — our own opening brief was 26% light on shares and double-counted \$1.47B as both debt and equity. Our error, stated plainly.
“Tape only pays for ~450 MW of contracted capacity” (our original comfort)	Recomputed: \$793M ÷ 690 MW = \$1.15M income/MW ÷ 6.7% = \$17.2M asset value/MW, less \$6.6M/MW of project debt = \$10.6M equity/MW	The \$17M/MW anchor was an asset figure used against an equity numerator; on the right basis the price demands ~975 MW-equivalent against 907 MW available	REFUTED — our error, in the comforting direction
The funded, delivered book supports +50% upside	Built the valuation table from company-disclosed income, 10-Q debt and cash	5.0% cap → \$21.73; 5.5% → \$19.16; 6.0% → \$17.01; 6.7% (street's own) → \$14.54 ; 7.5% → \$12.27; 8.5% → \$10.05. +50% (\$27.75) requires a 4.13% cap rate.	YES — arithmetic re-run independently and it ties
Company is dangerously levered (10x debt/equity)	Decomposed the \$267.5M net loss	\$150.5M is a non-cash warrant revaluation that got worse <i>because the stock went up</i> ; H1 is only –\$106.9M, meaning Q1 was a +\$43.6M gain. Net cash carrying cost ~\$31M/quarter, pre-funded	REFUTED — our bear bench killed our own bear argument. This dies on price, not solvency, which changes how we should respond: a price gate, not a size cut
Missing income disclosure is a masking tell	Compared 10-Q revenue lines to the investor deck	10-Q shows mining \$24.837M + power \$2.295M and zero data-center revenue — but Black Pearl rent commenced in August , after the June 30 period end, so zero is arithmetically required	REFUTED as a masking flag — our bear bench fired a consistency alarm that shouldn't have fired. The real, weaker finding: \$793M is unaudited,

Claim	How checked	Found	Confirmed?
			unreconciled, and deserves a haircut on evidence quality, not a fraud label
Both convert tranches are permanently equity	Checked strikes against price	2030 tranche at \$4.45 is deep in the money; 2031 tranche at \$16.03 is only ~8% in the money — below \$16.03 those 81.1M shares revert to debt	PARTIALLY REFUTED — our bear bench treated the count as fixed; it is price-dependent. Note the odd comfort: run it either way and fair value lands ~\$14.3–14.5, so the roof barely moves
Morgan Stanley's new 13G is accumulation	EDGAR filer lookup (CIK 0000895421)	Filer identity confirmed as Morgan Stanley; a 13G is a passive ≥5% report, and at a full-service bank it is routinely swaps, market-making and index inventory	Identity YES; the bullish reading REFUTED. Our first pass called it conviction buying. Still unverified: sole vs. shared voting/disposal breakdown on the cover page
Tenants are all investment grade (company's adjective, which we repeated)	Trade press (Data Center Dynamics, Blockspace)	Black Pearl and Stingray = Amazon; Barber Lake = Fluidstack , private, with a <i>partial</i> Google backstop (\$1.73B of obligations, not all)	PLAUSIBLE, not confirmed — secondary sources only; the lease exhibits would settle it
Live price	—	Pack says \$17.32; bear bench found \$18.50 close (08-17) and \$17.88 pre-market (08-18) from a public site	UNRESOLVED. Our broker feed was unavailable all session. Every price gate below must be re-checked against a live broker quote before it is armed
Detector sweep completed	Cross-checked both benches' detector lists	Bear bench skipped three entries entirely (China ramp-and-dump archetype, common-control merger accounting, Up-C/tax-receivable structure). Bull bench ran them: all clean — no offshore jurisdiction, no absorbed affiliates, no tax-receivable agreement, minority interest only \$25.7M	Gap found in our own process and closed

PROPOSED ENTRY BANDS

The courts say no entry. We hold no position and propose none. Below are the re-opening bands.

Do not buy above \$14.50. That is the roof — the value of the fully-funded, fully-delivered, everything-goes-right outcome at the street's own 6.7% capitalization rate. Buying above it means paying more than the best case is worth.

Band	Level	What it means	Proposed action
Re-open / re-court	≤ \$12.50	~13% below the best-case roof. At this price the funded book clears +50% at a ~5.5–6.1% cap rate — defensible for a stabilized portfolio	Re-court, do not auto-buy. Starter position up to 0.75% of the book only if the re-court clears
Size-up	≤ \$10.50	Red bench's figure charging \$150M/year of head-office cost against income (an over-harsh treatment we've flagged) — i.e. the price holds even under our most punishing assumption	Add to a maximum of 2.0% of the book, in two tranches
Structural marker	\$16.03	The 2031 convert strike. Below it, 81.1M shares stop being equity; above it they count. Not a trade level — a level where the share count changes underneath any model	Re-run the table whenever price crosses it
Event re-open (any price)	8-K with an EX-10 lease exhibit	Contracted rent per MW plus escalators would let us run the 15-year discounted-cash-flow model neither bench ran. If that lands in the low-\$20s with a conservative terminal value, the price rejection is void	Re-court within 48 hours of filing
Trim / exit (if ever owned)	≥ \$21.75	The 5.0% capitalization-rate value. Above this, the market is paying a rate no listed data-center landlord earns	Exit the trade position entirely

Catalyst dates. One dated: **2026-11-02, Q3 results — UNCONFIRMED**, inferred from the August 4 reporting cadence, not named in any company release. It is ~54 trading days out, so nothing about this deck is print-driven. The test that day: does GAAP data-center revenue print at a run-rate implying more than \$1.0M per MW per year *after* head-office allocation? Everything nearer-term is 8-K-shaped and undated: Black Pearl rent-commencement economics, any lease exhibit, Apollo/ERCOT initial energization.

Sizing today: ZERO. We own nothing, so rejecting costs nothing except the option to change our minds — which the bands above preserve.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 16.03 (deck-provisional: 2031 convertible strike - below this, 81.1M shares revert from equity to debt and the share count mode)
- filing watch: 8-K, EX-10 until 2027-02-14 (deck-provisional: A filed lease exhibit with contracted rent/MW and escalators enables the 15-year DCF neither bench ran)

- dated pack CIFR|2026-11-02: CIFR: Q3 2026 results - tests whether GAAP data-center revenue implies >\$1.0M/MW/yr net of corporate allocation (date confirmed=False)

What remains unverified

- **The 15-year discounted-cash-flow valuation was never run by anyone.** It is the calculation most likely to change the answer, and it plausibly lands in the low-\$20s. Until it is run, this rejection is provisional.
- **Whether the restricted cash exceeds what is still owed for construction.** Both benches assumed they cancel out. Neither read the commitments note. If restricted cash is meaningfully larger, every number in the table moves up.
- **Whether the project notes are legally non-recourse to the parent.** Assumed, not verified from the indentures.
- **Actual contracted rent per MW and escalators.** The entire \$793M rests on a furnished investor deck — unaudited, unreconciled, and not carried by any filed financial statement.
- **Tenant identity and the exact scope of the Google backstop** — trade press only, never confirmed from a lease exhibit.
- **The Google warrant strike and settlement mechanics** — cash proceeds, if any, would partly offset the 24M-share drag.
- **Delivery “two months ahead of schedule”** — company press release only. No independent confirmation of any kind.
- **The live price itself.** Three different figures appeared across the pack and the two benches (\$17.32 / \$17.39 / \$17.88 / \$18.50). Nothing here should be executed against until a broker quote confirms one.
- **Whether the second convert tranche should be counted at all** at prices below \$16.03 — a modeling choice we have flagged but not settled.

Primary source, quotable over any of the above: the Q2 2026 10-Q, accession 0001819989-26-000041, filed 2026-08-04 — <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001819989&type=10-Q> (specific exhibits read: R2 balance sheet, R4 income statement and revenue disaggregation, R21 debt note, R67 project notes).

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{"price_gates": [{"level": 12.50, "direction": "below", "basis": "Re-court trigger: ~13% below the $14.50 best-case roof; funded book clears +50% at a defensible 5.5–6.1% cap rate here"}, {"level": 10.50, "direction": "below", "basis": "Size-up level: holds even charging the full $150M/yr head-office cost against stabilized rental income"}, {"level": 16.03, "direction": "below", "basis": "2031 convertible strike – below this, 81.1M shares revert from equity to debt and the share count model changes"}, {"level": 21.75, "direction": "above", "basis": "5.0% cap-rate value; above this the market pays a rate no listed data-center landlord earns – exit if ever owned"}], "event_gates": [{"forms": ["8-K", "EX-10"], "why": "A filed lease exhibit with contracted rent/MW and escalators enables the 15-year DCF neither bench ran – the one calculation that could reverse this rejection"}, {"forms": ["10-Q"], "why": "Q3 GAAP data-center revenue run-rate vs >$1.0M/MW/yr net of overhead, plus the commitments note (R68–R70) on restricted cash vs remaining capex that both benches left unread"}, {"forms": ["8-K"], "why": "Black Pearl rent commencement economics and Apollo/ERCOT initial energization – the near-term catalysts are 8-K-shaped, not print-shaped"}, {"forms": ["4", "144"], "why": "Insider supply was concentrated into the June–July high alongside $2.0B of note issuance; a repeat cluster is the strongest un-weighted signal in the court"}, {"forms": ["SC 13G/A"], "why": "Whether Morgan Stanley's passive stake is market-making inventory or genuine accumulation – cover-page sole vs shared dispositive power is unread"}], "catalyst_dates": [{"date": "2026-11-02", "what": "Q3 2026 results – tests whether GAAP data-center revenue implies >$1.0M/MW/yr net of corporate allocation", "confirmed": false}], "immediate_entry": null}

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ADDENDUM — 2026-08-26 (alt-data drain)

R1.13 verification — the delivery question answered independently of company PR: 30 data-center-technician requisitions in Colorado City, TX (pop ~4,000), all posted 8/05–8/24 by CBRE, NTT DATA (“Onsite Colorado City, TX”), and staffing firms — Cipher itself posts zero, so the Barber Lake fit-out is contractor-staffed and actively hiring at production mix (80%). This is the third-party delivery confirmation the reopen-readiness posture needed. Satellite leg inconclusive for a known reason (facilities resolver had no pad coordinates; pad-precise re-scan queued pre-11/02). **The ≤\$12.50 reopen gate is unchanged — this banks readiness, it does not create an entry.**